Audit Observation Memorandum

Mehta Textiles Pvt Ltd | FY 2024-25 | Statutory Audit

Entity: **Mehta Textiles Pvt Ltd**
GSTIN: 27AAACM1234F1ZK
PAN: AAACM1234F

Audit Date: 15 May 2025
Auditor: M/s Kapadia & Associates, Chartered Accountants | ICAI Reg. 112345W | M

Observations & Findings

Finding 1 [High] | Area: GST

ITC of ·4,50,000 claimed on blocked credits (Section 17(5)) · ineligible
Recommendation: Reverse ITC immediately and pay with 24% interest

Finding 2 [Medium] | Area: TDS

TDS not deducted on rent payments exceeding ·2,40,000 (Section 194-I)
Recommendation: Deduct TDS @ 10% on all future rent and deposit pending TDS with interest

Finding 3 [Low] | Area: Payroll

Leave encashment provision not made for FY 2024-25
Recommendation: Provide for leave encashment liability as per actuarial valuation

Finding 4 [High] | Area: Revenue

Revenue recognized on dispatch basis instead of transfer of control · Ind AS 115
Recommendation: Restate revenue for period between dispatch and delivery for long-transit items

This memorandum is confidential and intended solely for management of Mehta Textiles Pvt Ltd.